

flation]. And that is why there is always going to be a question mark over the approach that the US Fed needs to take in taming its inflation, which is almost entirely domestic, and almost entirely linked to wage growth, labour shortages, and a boom in demand, versus India's inflation. One of the greatest macro challenges for the country right now is that we know that our economy is just recovering from a pandemic. Businesses are coming back with confidence, consumers are coming back with confidence, and GST revenues are good. How do you ensure that you navigate [safely through] what looks like a 12-18-month journey?

Q: So what is the way, given the kind of headwinds the economy is facing from geopolitical challenges, rising inflation and interest rates?

58 | A: I would say both monetary and fiscal policies have to work in tandem. The whole country needs to see that both key authorities [the government and the Reserve Bank of India or RBI] are there to ensure that the Indian public is reassured that taming inflation is top of the agenda. It is excellent that there is superb coordination between North Block [where the finance ministry, which decides fiscal policy, is located] and the RBI. For example, the ban on the export of wheat has already resulted in a price correction of 7-8 per cent in the few days since the ban; this also helps in keeping inflation in check.

In the case of fuel prices, I'm in two minds. There is one school of thought that says that we should cut fuel prices to tame inflation. I think this government clearly believes in pass-through, which then works like in the West—the demand destructs on its own. We have to accept that there is a short-term growth sacrifice. Second, whatever the fisc can absorb, particularly that which affects less advantaged societies, [they should]; high GST collections and the buoyancy in overall tax revenues allow them that luxury right now.

We have to accept that growth will

ON THE POSITIVES IN THE ECONOMY

The silver lining in this perfect storm is government tax revenues. The second positive, as of now, is wage growth... The third thing is the PLI schemes.

ON THE RBI AND THE FINANCE MINISTRY WORKING IN TANDEM

The whole country needs to see that both the government and the RBI are there to ensure that the Indian public is reassured that taming inflation is top of the agenda. It is excellent that there is superb coordination between North Block [where the finance ministry, which decides fiscal policy, is located] and the RBI.

ON THE ROAD AHEAD FOR THE RBI

The RBI should do a 50-basis point hike in June and another 50-basis point hike in August... If we get to 5.4 per cent repo rate in calendar year 2022 itself, the RBI will acquire a lot of operating flexibility.

be sacrificed. The best way [for the RBI] would be to do more [hikes] in the initial months or front-load rates. The RBI has already hiked the repo rate by 40 basis points to 4.4 per cent.

I would think we get to a repo rate of 5.25-5.5 in the quickest possible time frame, but communicate that this front-loading does not mean that its trajectory is like that. I [the RBI] am doing more in the first three or four months... so there is immediate messaging and a dampening effect. I would think they should do a 50-basis point hike in June and another 50-basis point hike in August. People go by what is happening in the longer term. If we get to 5.4 per cent repo rate in calendar year 2022 itself, the RBI will acquire a lot of operating flexibility. But communication to the market will have to play a role.

Q: The IMF, World Bank, S&P and many other agencies have cut their GDP growth forecast for India for 2022-23. The RBI looks to be more conservative as it has cut its forecast from 7.8 per cent to 7.2 per cent. Do you think that the downside risks to GDP growth have risen?

A: If you have a \$250-billion trade deficit projected for FY23, that itself shaves off quite a bit of the GDP. This will be the single-largest reason for growth projections to come down. Second, as rates go higher, credit-fuelled consumption will come down. The low mortgage rates of the past also created a demand. So, naturally, all of that will play out a little bit.

Q: What are the big positives you see in the economy?

A: The silver lining in this perfect storm, otherwise, is government tax revenues. Better GST collections could be structural because of the formalisation of the economy, due to stricter compliance and better use of data... I think the second positive, as of now, is wage growth. Wage growth is bad for business, because it is obviously shareholder profit that is going to employees, but from an economic perspective, there are always more employees than shareholders. For instance, the IT companies are experiencing 20-35 per